

TAB 31



Board of Education Report

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In Control: Board of Education

Ms. Ortiz Franklin - Public Schools Over Private Loopholes: Working Together for the Revenue our Students Deserve (Res-061-25/26) (For Action May 12, 2026)

Whereas, The Los Angeles Unified School District's vision is to graduate all students ready for the world and prepared to thrive in college, career and life, which requires adequate and fair funding;

Whereas, The District continues to experience declining student enrollment, losing over 40% of enrollment since 2002, significantly reducing state funding; while fixed costs, including those related to staffing, facilities, and operations have increased; and the expiration of one-time federal pandemic relief funding exacerbate fiscal pressures;

Whereas, In 2025 the District exceeded pre-pandemic achievement levels across every subject area and nearly all student groups, reflecting broad-based academic progress and expanded access to college readiness, and ongoing, sustained funding is necessary to continue the District's progress to close achievement gaps and create more opportunities for students;

Whereas, In June 2025 the Governing Board of the Los Angeles Unified School District adopted a Fiscal Stabilization Plan, required by Los Angeles County Office of Education, to account for a projected \$1.6 billion deficit; and current projections indicate continued financial challenges;

Whereas, The California state budget relies heavily on income and sales taxes due to the passage of Proposition 13 in 1978, which capped property tax rates and limited increases, reducing the growth of local revenues for public education;

Whereas, In 2012 California voters approved Proposition 30, which temporarily increased the state sales tax and increased income taxes on high earners; and then again in 2016 voted to approve Proposition 55, which extended income taxes on high earners through 2030 which provides \$4-9 billion annually for education and healthcare and helps augment funding for public schools through higher revenues that support minimum guarantee established under Proposition 98;

Whereas, Despite widespread labor and community led efforts at the local and state levels to increase revenue for public education through the unsuccessful Measure EE in 2019 and Proposition 15 "Schools and Communities First" in 2020, these campaigns represent critical steps in building a broader movement for education funding;

Whereas, In recent years the California state budget has been enacted with fiscal maneuvers that defer or underfund the constitutionally required Proposition 98 guarantee, including \$1.9 billion in 2025-26 and the proposed \$5.6 billion Proposition 98 withholding in the 2026-27 fiscal year away from public school students in TK-12 and community colleges, creating instability and uncertainty for school districts and community schools and limiting their ability to sustain critical services;

Whereas, SEIU California launched the “Unrig California: Stop the Corporate Freeloaders” campaign to urge state legislators to build a California for shared prosperity and a fair economy through ensuring that corporations pay the taxes they owe by limiting the use of legal tax loopholes; and

Whereas, Labor partners and other organizations have led and continue to lead to pass statewide revenue-generating initiatives critical to adequately funding high quality public education; now, therefore, be it

Resolved, That the Governing Board of the Los Angeles Unified School District recognizes the importance of equitable revenue solutions that strengthen California’s capacity to fund essential public services, including public education and health care;

Resolved further, That the Board affirms its support for the proposed state legislation that would increase the State’s General Fund, potentially increasing revenue for public education and preventing the misuse of tax exemptions: Assembly Bill 1611 (Haney), which would end tax advantages from corporate home-buying by institutional investors, and Senate Bill 1349 (Gonzalez), which would comprehensively assess and make recommendations on the state’s major tax expenditures;

Resolved further, That the Board affirms its support for proposed state legislation that may increase school funding, including Assembly Bill 2509 (Schultz), which would allow schools to claim average daily attendance on a five year average, and to drop the five lowest days of attendance from the average daily attendance calculation; Assembly Bill 1204 (Alvarez), which would strengthen the Local Control Funding Formula by implementing an annual minimum cost of living adjustment among other changes; and Senate Bill 1110 (Becker), which would restore enrollment-based funding in California State Preschool Programs that maintain 85 percent or greater enrollment;

Resolved further, That the Board directs the Superintendent to work collaboratively with labor partners to advocate for increased public education revenue by:

- Creating a Public Education Revenue Task Force to propose and act on solutions, led by the Office of Governmental Relations, composed of no more than one representative from each bargaining unit who agree to participate and an equal number of district-appointed members (which may be experts, staff, and/or community members), and designed to sunset no later than three years after establishment, and
- Participating in joint advocacy visits to state and federal legislators on matters specific to increasing revenues and maximizing the existing available state and federal funds to support students and schools; and, be it finally

Resolved, That the Board directs the Superintendent to provide semi-annual reports to the Board with updates on efforts to increase public education revenue including status updates on the Public Education Revenue Task Force, local and state legislation and ballot initiatives, beginning with an update on the proposed November 2026 ballot initiatives relevant to this issue and opportunities for the Board of Education to support them.